TEACHER GUIDE

SQA National 5 Business Management (C810 75)

External environment

Understanding business
External factors



A revision lesson. Pupils run a car dealership in firms of four and revise external environment on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Rates and car sales

Round 1

Interest rates rise. Many of your buyers pay for their cars with a loan.

What is the most likely effect on your sales?

- **A** Sales fall as loans cost more
- **B** Sales rise as savers earn more
- **C** Sales rise as prices fall
- **D** No change: buyers need cars

ANSWER

✓ Sales fall as loans cost more

Why: Higher interest makes loans dearer, so fewer people buy on credit.

2 Unemployment rises

Round 1

Unemployment in your area rises sharply.

Which two effects on your firm are most likely?

- **A** More buyers want premium models
- **B** Higher wages to keep staff
- **C** Banks lend more freely
- **D** Fewer buyers for new cars
- **E** More buyers want cheaper cars

ANSWER

✓ Fewer buyers for new cars
✓ More buyers want cheaper cars

Why: Less income means fewer big purchases, and buyers trade down.

3 Rate rise effects

Round 2

The Bank of England raises interest rates.

Put the effects in order, first to last?

- **A** Your sales fall
- **B** You order fewer cars
- **C** Fewer people buy on credit
- **D** Car loans cost more each month

ANSWER

1. Car loans cost more each month
2. Fewer people buy on credit
3. Your sales fall
4. You order fewer cars

Why: Dearer loans, fewer buyers, lower sales, so you buy less stock.

Topic tasks

4 Import cost rise

Round 2

The pound falls. Your parts come from Europe.

Rise in the parts' cost a month, in £?

Parts each month, in euros	**€12,000**
£1 buys, before	**1.20**
£1 buys, now	**1.00**

ANSWER

£2,000

€12,000 ÷ 1.00 − €12,000 ÷ 1.20 = £2,000

Why: A weaker pound buys fewer euros, so imports cost more in pounds.

5 Euro or UK supplier

Round 3

£1 buys €1.10. For the same order, a UK supplier asks £10,000; a German one asks €11,550.

Which supplier should you use, and why?

A The UK supplier

B The German supplier

ANSWER

✔ **The UK supplier**

Why: €11,550 ÷ 1.10 = £10,500, so the UK order is £500 cheaper.

6 Staff real income

Round 3

Prices in the shops rise 8% this year. Your staff get a 3% pay rise.

What happens to their real income?

A It rises by about 11%

B It rises by about 3%

C It falls by about 5%

D It stays the same

ANSWER

✔ **It falls by about 5%**

Why: Pay rises more slowly than prices, so it buys about 5% less.

Final questions

Each pupil answers 6 final questions on external environment. They come from these 10 questions.

Then each pupil writes one short answer: “Explain how a new law could change your costs.”

1. A dealer wants out-of-hours customer booking and demand data by time slot. Which online-booking outcome meets both aims?
   ✔ **Easy customer booking, plus time-slot demand data for managers**

2. Unemployment rises sharply in the local area. What is one likely effect on a dealership selling mainly to local households?
   ✔ **Demand may fall as households have less income**

3. Why must a motor retailer consider employment law when recruiting staff?
   ✔ **It must treat applicants fairly and lawfully**

4. Consumer confidence rises and more households feel secure about major purchases. What may happen to demand for cars?
   ✔ **Demand is likely to rise**

5. Local unemployment rises: more technicians apply, but demand for premium servicing weakens. Which response is most balanced?
   ✔ **Recruit needed skills and update forecasts for weaker demand**

6. A recession reduces household spending on premium cars. Which response is most appropriate?
   ✔ **Review stock and offer better value**

7. A new safety rule applies to workshop equipment. What should the business do?
   ✔ **Check compliance, update equipment, train staff**

8. A new vehicle technology makes old diagnostic equipment less useful. What business risk does this create?
   ✔ **Its equipment may become obsolete**

9. Why should the CEO monitor economic, technological and legal changes?
   ✔ **They can change demand and costs**

10. In a recession the economy shrinks, unemployment rises and people spend less. A dealer sells new cars and repairs. Using this description, what should it expect?
    ✔ **New car sales fall more than repairs; old cars stay running**